

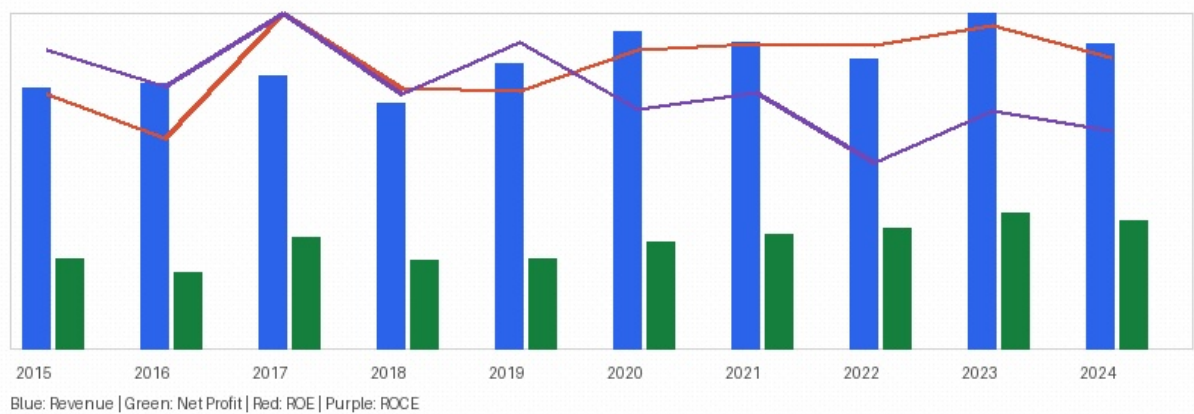
NHPC Ltd (NHPC)

ROE 10.41%	ROCE 9.59%	NPM 41.82%
D/E 0.84	Revenue CAGR 1.40%	FCF 970.00

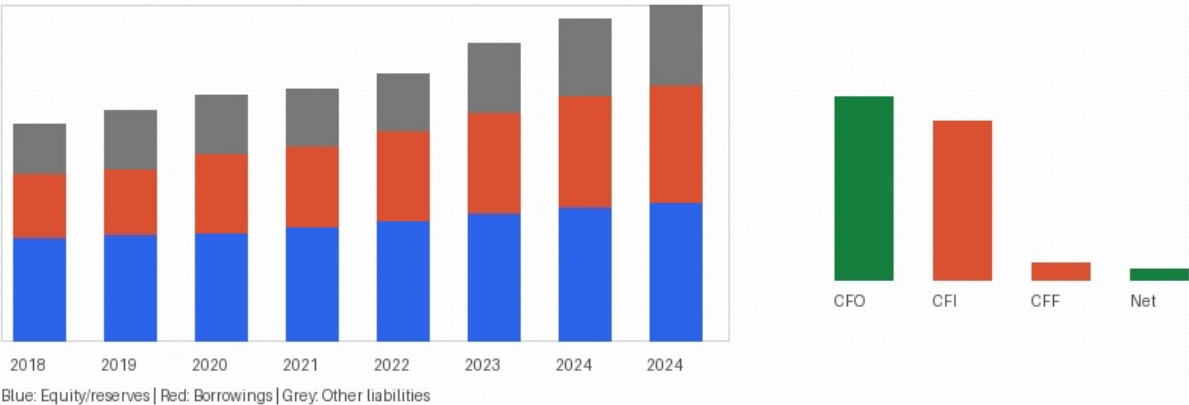
Sector: Energy | **Sub-sector:** Power & Utilities

NHPC, a Mini Ratna category I public sector utility, is Government of India's flagship hydroelectric generation company. The company is primarily involved in the generation and sale of bulk power to various Power Utilities. Its other business includes providing project management / construction contracts/ consultancy assignment services and trading of power.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Strong free cash flow generation over 5 years signals healthy business fundamentals	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Operating profit margin above 25% indicates strong pricing power and cost discipline	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
Very high interest coverage ratio reflects negligible financial stress from debt servicing	Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns